and cost using India's other advantages. However, we have been less than smart in permitting a very welcoming and open regime for importing technology and paying for it in royalties. Software purchased from abroad has been subjected to royalty payments that the Supreme Court has recently quashed after a twenty-year legal battle. Likewise, there have been sporadic attempts to cap royalties on technology imports, brand use and the like. India's gain in manufacturing products should be viewed from the perspective of value addition instead of royalty paid. The country needs to institute an open and liberal technology import regime.

Third, schemes like PLI or sector-specific subsidies primarily seek to offset the cost disadvantage of manufacturing in India relative to other countries. This relative disadvantage is deeper and affects all manufacturing. Industry is the productive sector of the economy, yet it pays the highest cost of electricity to the monopoly state power distribution companies. There are numerous fetters on generation of captive power and buying power from the cheapest source available. Likewise, there is no bond market for most companies in the country and the banking system, dominated by risk-averse PSBs, lends too little and at too high a cost. Power should be sold at the average cost of power plus a margin of profit to industry. Industry should be allowed to source power at the cheapest rate available and the financial ecosystem should develop to enable industry to raise much-needed capital at globally competitive rates. The industrial policy for 2035 must also make land availability convenient and cost-effective. The government need not provide any fiscal support; adoption of the right package of policies to dismantle the power distribution companies, privatization of public sector banks and liberalizing the land markets would do what's necessary.

Fourth, the Government of India has hundreds of PSUs making heavy machines, machines, industrial products and consumer goods. Most of these undertakings are either loss-making or barely keeping their heads above